TDK

6762.T | Tokyo Stock Exchange Prime | 2026-10-11

Q4 2027 model ceiling: JPY 4,117.47

Analytical Base 40/60 = 67 | Qualified components with storage and AI power demand

20x rolling Q+next3 IFRS operating profit attributable to common, using a 2% minority operating-profit proxy and modeled window-end common shares. No excess-cash bonus or central head-sale economic increment.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in JPY m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	391,659.2	20x	1,902.428	4,117.47

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Thesis

As of October 11, 2026. Tokyo Stock Exchange Prime: 6762. Currency: Japanese yen. The model ceiling for Q4 2027 is **¥4,117.47 per common share**, using 20x operating profit for Q4 2027 through Q3 2028 and the common-share count at the end of that window. Analytical Base: **67/100**. This is a forecast valuation, not issuer guidance or a prediction of the trading price.

TDK offers three useful exposures: qualified HDD heads and suspensions, demanding power-delivery components, and batteries that support both consumer devices and industrial power. Heads and AI components can improve the profit mix. However, batteries still dominate disclosed segment profit, and the group spends heavily on research and capacity. A head-business transaction could change the investment exposure itself.

The reference already assumes a substantial recovery. Probability-weighted incremental evidence adds ¥46.42 per share to the Q4 2027 ceiling. The model does not convert the entire HDD or AI-power market into TDK revenue. Customer-qualified output, accepted shipments, component prices and retained margins are the intermediate steps.

Where TDK earns its returns

The group manufactures passive components, sensors, magnetic products, batteries, power supplies and manufacturing equipment. It brings materials, thin-film processing, plating and device manufacturing together. These capabilities matter when customers need high current in little board area, low losses, precise sensing or magnetic recording performance with narrow tolerances.

In April-June 2026, passive sales were ¥176.803bn: capacitors ¥80.752bn, inductors ¥61.980bn and other passives ¥34.071bn. Sensors contributed ¥61.856bn, magnetic products ¥81.608bn, Energy products ¥405.795bn and other operations ¥14.943bn. Energy generated ¥69.389bn of segment profit, compared with ¥17.385bn for passives, ¥7.845bn for sensors and ¥9.550bn for magnetic products. Other operations lost ¥1.832bn; corporate adjustments reduced profit by another ¥16.028bn. Segment profit includes allocated expenses and is not gross profit. Quarterly financial report, PDF pages 7-8 and 21-22.

The value chain is specific. HDD heads require qualified media/head interaction, precision manufacturing and reliable yields; suspension assemblies require mechanical consistency as recording density rises. Thin-film inductors trade electrical loss, current handling and component height against process complexity. Batteries depend on material choice, cell engineering, pack design, customer qualification and manufacturing control. Ownership of a factory is insufficient without good output and an accepted customer design.

Sales by Product

Item	Three months ended June 30, 2025 (April 1, 2025 – June 30,2025)		Three months ended June 30, 2026 (April 1, 2026 – June 30,2026)		Change	
	(Millions of yen)	%	(Millions of yen)	%	(Millions of yen)	Change (%)
Capacitors	59,785	11.1	80,752	10.9	20,967	35.1
Inductive Devices	49,094	9.2	61,980	8.4	12,886	26.2
Other Passive Components	29,261	5.5	34,071	4.6	4,810	16.4
Passive Components	138,140	25.8	176,803	23.9	38,663	28.0
Sensor Application Products	46,415	8.6	61,856	8.3	15,441	33.3
Magnetic Application Products	54,554	10.2	81,608	11.0	27,054	49.6
Energy Application Products	285,519	53.3	405,795	54.8	120,276	42.1
Other	11,125	2.1	14,943	2.0	3,818	34.3
Total	535,753	100.0	741,005	100.0	205,252	38.3
Overseas Sales	493,518	92.1	686,935	92.7	193,417	39.2

1) Passive Components Segment
This segment is made up of Capacitors, Inductive Devices, and Other Passive Components. Sales in the Passive Components segment were ¥176,803 million, up 28.0% year on year from ¥138,140 million.
Capacitors is made up of Ceramic Capacitors, Aluminum Electrolytic Capacitors, and Film Capacitors. Sales in the Capacitors were ¥80,752 million, up 35.1% year on year from ¥59,785 million. Sales increased mainly to the industrial equipment market.
Sales of Inductive Devices increased by 26.2% year on year from ¥49,094 million to ¥61,980 million. Sales increased mainly to the automotive market.
Other Passive Components include High-Frequency Devices, Piezoelectric Material Products, and Circuit Protection Components. Sales of Other Passive Components increased by 16.4% year on year from ¥29,261 million to ¥34,071 million. Sales increased mainly to the industrial equipment market.

2) Sensor Application Products Segment
This segment is made up of Temperature and Pressure Sensors, Magnetic Sensors, and MEMS Sensors. Segment sales increased by 33.3% from ¥46,415 million to ¥61,856 million. Sales increased mainly to the ICT market.

https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260731/20260731504740.pdf | Original product sales; inductors are separated from capacitors and other passives.

Latest results and fiscal timing

TDK's fiscal year ends in March. The July 31 release covers April-June 2026, which is **calendar Q2 2026 and fiscal Q1 March 2027**. Calendar Q3 had not been reported by October 11. The next scheduled financial update is October 30.

Latest revenue was ¥741.005bn, gross profit ¥227.722bn, SG&A ¥153.926bn and operating profit ¥86.310bn. Net other operating income contributed ¥12.515bn. Parent net income was ¥80.581bn. Revenue rose 38.3% and operating profit rose 53.0% year over year, but foreign exchange contributed to the increase. Energy revenue rose 42.1%; growth in the acquired pack business means this is not an equivalent rise in cell shipments. Quarterly report, pages 6-8 and 14.

For the year ended March 2026, sales were ¥2,504.820bn and operating profit ¥272.415bn. Gross profit of ¥783.404bn less SG&A of ¥544.033bn required ¥33.044bn of net other operating income to reconcile to operating profit, subject to rounding. R&D was ¥289.668bn; depreciation ¥204.192bn. These costs matter: a large component-revenue forecast cannot be valued at a segment contribution margin while omitting group development and administration. Annual results.

July retained FY3/27 guidance of revenue ¥2.58tn, operating profit ¥295bn and parent net income ¥225bn, with capex ¥370bn, depreciation ¥240bn and R&D ¥310bn. The forecast assumes ¥150/USD and ¥175/EUR from the second fiscal quarter. Our calendar-quarter model, combined with the June actual, gives FY3/27 revenue ¥2,910.453bn and consolidated operating profit ¥306.123bn: 12.8% and 3.8% above the unchanged guide. The difference reflects continued pack revenue and stronger component demand with a conservative consolidated margin, rather than treating the entire June profit as recurring. This is our model calibration and remains a risk to test at the next release. July forecast, page 10.

TDK Corporation (6762) Consolidated Financial Results for the Three Months Ended June 30, 2026 (IFRS)

(2) Condensed quarterly consolidated statements of profit or loss and comprehensive income

Condensed quarterly consolidated statements of profit or loss

	Three months ended June 30, 2025 (April 1, 2025 - June 30, 2025)		Three months ended June 30, 2026 (April 1, 2026 - June 30, 2026)		Change	
	Amount (Millions of yen)	% to net sales	Amount (Millions of yen)	% to net sales	Amount (Millions of yen)	%
Net sales	535,753	100.0	741,005	100.0	205,252	38.3
Cost of sales	(366,099)		(513,283)		(147,184)	
Gross profit	169,654	31.7	227,722	30.7	58,068	34.2
Selling, general and administrative expenses	(121,020)		(153,926)		(32,905)	
Other operating income	7,799		12,966		5,167	
Other operating expenses	(14)		(451)		(436)	
Operating profit	56,419	10.5	86,310	11.6	29,892	53.0
Finance income	7,666		19,236		11,570	
Finance costs	(6,015)		(10,567)		(4,550)	
Share of profit/(loss) of investments accounted for using the equity method	(440)		(480)		(40)	
Profit before tax	57,630	10.8	94,500	12.8	36,873	64.0
Income tax expense	(15,247)		(12,515)		2,730	
Net profit for the period	42,383	7.9	81,985	11.1	39,603	93.4
Net profit attributable to:						
Owners of parent	41,462	7.7	80,581	10.9	39,120	94.4
Non-controlling interests	921	0.2	1,404	0.2	483	52.4
Net profit for the period	42,383	7.9	81,985	11.1	39,603	93.4

11

https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260731/20260731504740.pdf | April-June 2026 IFRS earnings: other operating income is separately visible.

(3) Summary Information Regarding Consolidated Projections

(Fiscal year ending March 31, 2027 Consolidated Projections)

TDK has not changed the following projections for consolidated business results, purchase of tangible and intangible assets, depreciation and amortization, and research and development expenses for the Fiscal year ending March 31, 2027, since its announcement on April 28, 2026.

Item	Fiscal year ending March 31, 2027 (April 1, 2026 - March 31, 2027)	Fiscal year ended March 31, 2026 (April 1, 2025 - March 31, 2026)	vs Fiscal year ended March 31, 2026 Changes	
	Projection in April '26	Actual		
	(Millions of yen)	(Millions of yen)	(Millions of yen)	%
Net sales	2,580,000	2,504,820	75,180	3.0
Operating profit	295,000	272,415	22,585	8.3
Profit before tax	300,000	276,810	23,190	8.4
Net profit attributable to owners of parent	225,000	195,663	29,337	15.0
Purchase of tangible and intangible assets	370,000	298,591	71,409	23.9
Depreciation and amortization	240,000	204,192	35,808	17.5
Research and development expenses	310,000	289,668	20,332	7.0

(Exchange Rate Forecast)

Average yen exchange rates against the U.S. dollar and the euro of ¥150 and ¥175 respectively will be assumed from the second quarter onward.

Cautionary Statements with Respect to Forward-Looking Statements

This material contains forward-looking statements, including projections, plans, policies, management strategies, targets, schedules, understandings, and evaluations about TDK Corporation and/or its group companies ("TDK"). These forward-looking statements are based on the current forecasts, estimates, assumptions, plans, beliefs, and evaluations of TDK in light of information currently available to it, and contain known and unknown risks, uncertainties and other factors.

TDK therefore wishes to caution readers that, being subject to risks, uncertainties and other factors, TDK's actual results, performance, achievements or financial positions could be materially different from any future results, performance, achievements or financial positions expressed or implied by these forward-looking statements, and TDK undertakes no obligation to publicly update or revise any forward-looking statements after the issue of this material except as provided for in applicable laws and ordinances.

The electronics markets in which TDK operates are highly susceptible to rapid changes. Risks, uncertainties and other factors that can have significant effects on TDK include, but are not limited to, shifts in technology, fluctuations in demand, prices, interest and foreign exchange rates, and changes in economic environments, conditions of competition, laws, and regulations.

https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260731/20260731504740.pdf | The July report retained its annual forecast and stated the next-quarter range.

Engineering advantage and competition

April management commentary identified strong nearline-head growth, higher suspension volumes and increased suspension capacity. The nearline-head volume scope differs from total head shipments. The company has shipped MAMR products since 2021 and described HAMR volume production approximately two years after the April 2026 discussion. The model places the additional HAMR-related opportunity in 2028. Storage bytes can grow faster than drive units because capacity per drive improves. April prepared remarks, Japanese Q&A.

The September technical presentation illustrates thin-film inductors, embedded power delivery and high-voltage capacitors. One optical-module example moves from roughly six power inductors and 10A total at 400G to nine and 25A at 1.6T, while requiring a lower component profile. That is a design example, not a disclosed TDK market share or order. Another board example reduces capacitor count through more capable parts. Component value and part count need not grow together. September 11 passive-components presentation, pages 14 and 17-21.

The moat rests on qualified performance, yield and customer integration. It is not absolute exclusivity. Murata and Taiyo Yuden are relevant passive-component competitors; customers can redesign power stages, move components into packages or choose alternatives. HDD customers have internal head capabilities and can alter

sourcing. In batteries, customer bargaining, material cost and competitive cell designs can offset richer product content. Supplier benchmark claims require validation against the customer's actual voltage, temperature, current, lifetime and usable-output requirements.

Reference forecast and earnings costs

The model uses six revenue vectors. Calendar 2027 reference revenue is ¥475bn for capacitors/other passives, ¥285bn for inductors, ¥260bn for sensors, ¥360bn for magnetic products, ¥1,550bn for Energy and ¥65bn for other operations. By 2030 these become ¥605bn, ¥400bn, ¥350bn, ¥470bn, ¥1,940bn and ¥96bn. These are explicitly modeled allocations, not six issuer guidance lines.

Gross margins are also allocations: 2027 starts at 29%, 34%, 39%, 31%, 32% and 20%, respectively. Ordinary materials, labor, factory depreciation, scrap and production support belong in these margins. R&D of ¥340bn and other recurring SG&A of ¥280bn are then deducted. By 2030 they rise to ¥420bn and ¥344bn. SBC remains an expense; depreciation is not added back in valuation. Forecast other operating income is zero unless specifically identified.

The reference has ¥2,995bn revenue and ¥329.917bn common-attributable operating profit in 2027, growing to ¥3,861bn and ¥502.622bn in 2030. Active probability-weighted results are ¥3,005.488bn/¥331.187bn in 2027, ¥3,338.030bn/¥413.263bn in 2028, ¥3,641.804bn/¥484.105bn in 2029 and ¥3,939.639bn/¥518.249bn in 2030. The later years are low-confidence paths, with margin improvement capped and partial normalization in 2030.

Unit proxies make the incremental assumptions testable. A reference-inductor revenue equivalent at ¥80 per device is an accounting driver, not a literal shipment count across dissimilar components. The extra passive-win branch separately states units and ASP. The HDD branch uses a head/suspension content-set equivalent and does not claim that TDK sells complete drives.

[Segment profit (loss)] (Millions of yen, %)

	Three months ended June 30, 2025 (April 1, 2025 - June 30, 2025)		Three months ended June 30, 2026 (April 1, 2026 - June 30, 2026)		Change	
	Amount	% to net sales	Amount	% to net sales	Amount	%
Passive Components	6,387	4.6	17,385	9.8	10,998	172.2
Sensor Application Products	2,690	5.8	7,845	12.7	5,155	191.6
Magnetic Application Products	6,291	11.5	9,550	11.7	3,259	51.8
Energy Application Products	55,370	19.4	69,389	17.1	14,019	25.3
Other	(2,476)	(22.3)	(1,832)	(12.3)	644	—
Subtotal	68,262	12.7	102,338	13.8	34,076	49.9
Adjustment	(11,843)		(16,028)		(4,185)	
Operating profit	56,419	10.5	86,310	11.6	29,892	53.0

Segment profit represents a segment's sales less its cost of sales, selling, general and administrative expenses and other operating income and expense that are not attributable to Corporate headquarters. The adjustment in the table above mainly represents corporate expenses for company-wide operational and administrative purposes that are not allocated to operating segments.

3. Geographic segment information
The geographic segment information for the three months ended June 30, 2025 and 2026 are as follows:

[Net sales]

(Millions of yen)

	Three months ended June 30, 2025	Three months ended June 30, 2026
Japan	42,235	54,070
Americas	33,960	43,492
Europe	42,370	52,384
China	281,604	409,915
Asia and others	135,584	181,144
Total	535,753	741,005

The net sales are based on the location of external customers.

(Significant subsequent events)
None

https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260731/20260731504740.pdf | Segment profit is reconciled through corporate costs; it is not segment gross profit.

Pricing, mix and probability-weighted increments

July management explicitly identified supply-demand pricing for heads and suspensions, alongside higher wafer starts and capacity utilization. It also highlighted thin-film inductors and planned high-voltage BBU production from fiscal Q3, meaning calendar Q4 2026. Those are credible forward signals; customer prices and allocations are still undisclosed. July Q&A.

The active model contains five operating branches:

- **Head/suspension repricing: 65% probability.** Conditional premium is 4% on 50% of a 70% eligible share of magnetic reference sales. The ramp begins in Q4 2026, reaches full modeled effect in Q2 2027 and moderates after 2028. Retain 80% as gross profit and spend another 5% on qualification/selling, leaving 75% operating contribution. The plausible premium range is 2-6%. Fixed-price backlog is not retroactively repriced. - **Additional passive wins: 55%.** Above the strong reference, 100m/220m/350m/450m equivalent devices at ¥80/90/95/100 add conditional revenue of ¥8bn/19.8bn/33.25bn/45bn during 2027-30. Gross margin of 45% less incremental development, qualification and selling cost of 15% leaves 30% operating contribution. The company-wide AI-passive ambition is not added again. - **Later residual HDD output: 45%.** Conditional revenue is zero in 2027,

then ¥10bn/20bn/25bn in 2028-30. At ¥10,000 per equivalent content set, the 2028 increment is one million sets. Gross margin of 35% less 12% development and support leaves 23% operating contribution. The 2027 zero reflects existing expansion overlap. It is not a zero assigned merely because orders are unofficial. - **AI/data-center UPS and BBU batteries: 30%.** Conditional total revenue of ¥20bn/60bn/150bn/270bn in CY2027-30 receives a 50% reserve for overlap with Energy growth, then 30% probability. Weighted extra revenue is ¥3bn/9bn/22.5bn/40.5bn. A 30% gross margin less 15% incremental R&D, qualification and selling cost leaves 15% operating contribution, before the existing 2% minority allocation. The next section shows timing, source scope and funding. - **Residual battery cost: 30%.** An extra 0.6% of Energy sales enters COGS in 2027-28 and 0.3% in 2029-30. This tests pack/input-cost retention beyond normal costs already in the reference. It does not duplicate the ordinary consumer-volume forecast.

Higher utilization, price and product mix are related. The reference contains ordinary utilization and mix gains; the price branch operates only on eligible reference shipments. Additional HDD units have their own support costs and are excluded from that repricing pool. Capacity expansion at Toshiba is not independently added as a second demand shock.

AI and data-center batteries: the new bounded contribution

Goldman Sachs's September 24 report describes nearly **¥300bn of TDK AI/data-center medium-sized battery sales in FY3/31**, from almost no contribution through FY3/26. This includes **UPS and BBU**. It is a bank endpoint scenario, not TDK guidance, not a BBU-only forecast and not an annual calendar-year ramp. The report anticipates UPS expansion in first-half FY3/27, BBU in the second half and a larger expansion in the latter half of the FY3/28-30 plan. The issuer's July Q&A describes customer go-aheads and HVDC BBU production beginning fiscal Q3, or calendar Q4 2026.

The active model assigns **30% probability** to a bounded incremental commercialization path. The named company endpoint and issuer production discussion justify a positive contribution before full confirmation. Undisclosed customer share, accepted capacity, product margins and timing prevent treating the endpoint as certain. The bank and issuer discussion are related evidence, not two independent probability increments. The 2026 addition is zero because the reference already accommodates the initial ramp and the report's material expansion is later.

ASTRA assumes conditional total UPS+BBU revenue of **¥20bn/60bn/150bn/270bn in CY2027-30**, reserving half for growth already embedded in Energy's ¥1,550bn/1,700bn/1,810bn/1,940bn reference. Only the remaining ¥10bn/30bn/75bn/135bn is weighted by 30%. These calendar amounts are model assumptions, not GS annual estimates. Amounts in the table are JPY billions.

Calendar year	Conditional total revenue	Overlap reserve	Weighted added revenue	Weighted common OP
2027	20	10	3	0.441
2028	60	30	9	1.323
2029	150	75	22.5	3.308
2030	270	135	40.5	5.954

Recognition is 10/20/30/40% in the four quarters of 2027 and 20/23/27/30% in 2028-29. Conditional 2030 sales are ¥60bn/65bn/70bn/75bn. A hypothetical ¥90bn in Q1 2031 links the last three quarters of 2030 to the ¥300bn FY3/31 endpoint. Q1 2031 is only a timing reconciliation and adds no active model row or terminal valuation.

Gross margin is a modeled 30%, including ordinary depreciation equal to 6% of added revenue. Incremental R&D, qualification and selling cost of 15% leaves a 15% consolidated operating contribution; the unchanged 2% minority

proxy follows. Funding adds depreciation back once, deducts 20% incremental capex and funds working capital under the existing formula. These are TDK allocation assumptions. The bank's finished-system margin, Panasonic system share and global system TAM are not imported as TDK economics. Linergy's May acquisition announcement reported very small prior revenue and an operating loss, reinforcing the cost and execution risk. Existing acquisition cash is not charged again.

The active Q4 2027 window adds **¥1.103bn common-attributable operating profit**, lifting the same-quarter ceiling from **¥4,105.88 to ¥4,117.47**, or **0.282%**. All of this change is earnings input; the 20x multiple, share schedule and Base 67 are unchanged. Most conditional revenue arrives later, so this endpoint does not create a large near-term ceiling increase.

Diagnostic ranges are FY3/31 sales ¥200-300bn, overlap 25-75%, operating contribution 10-20% and probability 20-40%. Scaling the annual path proportionally to those terminal endpoints gives a Q4 2027 ceiling contribution of ¥1.72-¥30.91; these are sensitivities, not a second active case. Qualification misses, weak retained margin, faster competing capacity or higher cash needs would reduce or delay the contribution. Accepted sales, qualified good-output capacity and cash conversion would improve confidence.



Goldman Sachs | Global Technology: Hardware

BBU Players & Key Business Opportunities

Panasonic HD

Panasonic HD is the largest player, and according to the company it is holding **an approximate 70-80% share** in distributed power supply systems (BBU) for data centers.

It is the only company that comprehensively handles everything from battery cell development to module design and system integration in-house, and its strengths lie in the high reliability of its battery cells and modules and its ability to propose total solutions to customers. In the data center energy storage system business, the company aims for sales on the scale of ¥1 tn in FY3/29 and ¥1.5 tn in FY3/31, and management has commented that its award acquisition ratio (projects for which product development has been promoted or orders agreed upon) has reached almost 100% regarding its sales guidance for FY3/29.

Furthermore, in addition to Panasonic Energy, which handles BBUs, Panasonic Industry said that it is developing CBUs (Capacitor Backup Units) and supercapacitors, with plans to begin mass production of first-generation products during FY3/27. We believe that if these devices, which absorb power load fluctuations, are launched, combining them with BBUs will lead to further value-add enhancements.

Murata Manufacturing

We expect BBU-bound sales to account for more than 30% of Murata Manufacturing's battery business sales in FY3/27. With structural reforms completed and profitability having improved to a break-even level for the battery business as a whole, the increase in BBU-bound sales is expected to make a positive contribution in terms of enhancing profitability depth. The company is heading toward expanding its business for BBUs in the form of LFP cell supply, and its stated strategy is to advance business expansion by leveraging LFP's high safety and its status as the only domestic Japanese cell manufacturer (making it easy to differentiate itself geopolitically for Western customers). While we believe its number of customers is currently likely to be limited and its industry position is low, we believe it will grow into a more material business scale amid robust demand and changing technologies.

TDK

TDK's medium-sized batteries have up to now been used mainly for household ESS/e-bikes/drones, but per the company, it is expected to make a full-scale push for UPS applications from 1HFY3/27 and BBU applications from 2HFY3/27. We see it as a major growth driver for the next medium-term plan (FY3/28-FY3/30), drawing on strengths in LFP materials and design structure. Aside from supply via its JV with CATL, Linergy (Malaysia), which it acquired in May 2026, could play an important role. Linergy is currently mainly focused on UPS and power tools, but is moving to handle BBU applications as well. We believe medium-sized batteries for AI/data centers, which contributed almost nothing to sales through FY3/26, have the potential to expand to nearly ¥300 bn by FY3/31, and management said that it is aiming for major expansion in line with GPU technological evolution, especially in the latter half of the next medium-term plan.

24 September 2026 26

Goldman Sachs research, owner-supplied original PDF | GS, September 24, 2026, page 26. Its nearly JPY300bn FY3/31 scenario covers AI/data-center medium-sized batteries including UPS and BBU. Annual timing and margins below are ASTRA assumptions.

Head ownership: a transaction is not extra capacity

On October 6, TDK said media reports about its HDD-head business were not based on a company announcement; it described portfolio-management work and said no decisions had been made. The statement supplies no price, bidder, perimeter, closing date or approved transaction. It neither proves a sale nor makes a future sale impossible. TDK statement.

We assign a **35% transaction probability**. A sale or joint venture must remove the corresponding profit exposure and add net proceeds or retained value together. The central assumption is value-neutral: net consideration equals the model's existing 20x matched head-profit value. This deliberately makes no directional economic claim when perimeter and terms are indeterminate. It is not a discount based only on the absence of an official deal.

For transparency, the full-head proxy is 60% of magnetic operating profit after allocated group costs. The Q4 2027 window contains ¥28.979bn of common-attributable head profit under that proxy. Net consideration at 10x, 15x, 20x or 25x produces conditional per-share changes of -¥152.33, -¥76.16, zero or +¥76.16. At 35% probability those become -¥53.32, -¥26.66, zero or +¥26.66. This range is a sensitivity, not a forecast transaction multiple. Net proceeds already mean after tax and deal costs; adding another arbitrary expense would double-charge the scenario.

Cash, funding and dilution

June cash was ¥870.197bn against borrowings of ¥689.511bn, leases of ¥74.891bn and pension liabilities of ¥99.079bn. Cash exceeds that combined set by only ¥6.716bn. No excess-cash bonus is added. Other current financial liabilities of ¥214.851bn remain a classification gap, distinct from the ¥744.622bn trade-payable balance. Balance sheet, pages 12-13.

Quarterly operating cash flow was **negative ¥19.154bn** despite the reported profit. Receivables of ¥900.059bn and inventory of ¥638.278bn demonstrate the capital required to grow. Capex cash was ¥84.875bn and acquisition cash ¥36.761bn. A strong earnings quarter is not equivalent to freely distributable cash. Cash-flow statement, pages 18-19.

The explicit funding bridge assumes reference annual capex rises from ¥370bn to ¥460bn by 2030, plus 20% of the new probability-weighted AI/DC battery revenue; incremental depreciation is added back at 6% of that revenue, cash tax at 30% of operating profit, ¥30bn annual interest, ¥12bn pension contributions, ¥28bn lease principal and ¥80bn dividends. It funds incremental working capital at the current run-rate relationship, without an immediate cash release. All current debt is repaid over four quarters and half the long debt over the remaining horizon; this maturity convention is an assumption, not a disclosed schedule. No new debt, equity or head-sale proceeds are inserted. Minimum cash is ¥44.240bn and ending cash ¥100.481bn.

Accelerating repayment of all long debt by 2030 creates a maximum ¥111.856bn financing requirement. A severe combined case - 25% unavailable opening cash, sales down 10%, an extra two percentage points of margin pressure, 30 more collection days, 20% higher capex and settlement of the full other-current-financial-liability balance - requires ¥1,724.619bn by the end of the horizon. This is a deliberate stress combination, not the active forecast. It shows that the model cannot assume unlimited cash access or a costless ramp. Refinancing, dividend restraint, reduced capex or other capital action would be required in such a case; none is guaranteed.

Common shares are 1,943.859885m issued less 45.705825m treasury, or **1,898.154060m** at June 30. This is after the October 2024 five-for-one split. The forecast reserves 0.10% annual dilution and assumes no buyback. The Q4 2027 valuation window ends with **1,902.427576m shares**. Later treasury-award movements remain to be reconciled. A 2% operating-profit attribution reserve approximates minority earnings, informed by the reported annual and latest-quarter net-income shares; minority book equity is not also deducted.

3. Condensed Quarterly Consolidated Financial Statements and Primary Notes

(1) Condensed quarterly consolidated statements of financial position

	March 31, 2026		June 30, 2026		Change
	Amount (Millions of yen)	%	Amount (Millions of yen)	%	Amount (Millions of yen)
Assets					
Current assets					
Cash and cash equivalents	842,775		870,197		27,422
Trade receivables	780,580		900,059		119,479
Other financial assets	159,587		105,179		(54,408)
Inventories	585,448		638,278		52,830
Income taxes receivables	5,134		5,748		614
Other current assets	81,707		110,530		28,823
Subtotal	2,455,232		2,629,990		174,758
Assets held for sale	—		3,751		3,751
Total current assets	2,455,232	55.6	2,633,741	55.4	178,509
Non-current assets					
Investments accounted for using the equity method	48,664		49,053		389
Other financial assets	226,803		241,754		14,951
Property, plant and equipment	1,225,762		1,350,142		124,380
Right-of-use assets	72,619		83,378		10,759
Goodwill	188,481		195,292		6,811
Intangible assets	49,683		49,822		139
Long-term advances to suppliers	90,080		89,145		(935)
Deferred tax assets	43,798		45,031		1,233
Other non-current assets	14,054		13,971		(83)
Total non-current assets	1,959,944	44.4	2,117,590	44.6	157,646
Total assets	4,415,175	100.0	4,751,331	100.0	336,156

https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260731/20260731504740.pdf | Consolidated cash, receivables and inventory at June 30, 2026.

	March 31, 2026		June 30, 2026		Change
	Amount (Millions of yen)	%	Amount (Millions of yen)	%	Amount (Millions of yen)
Liabilities					
Current liabilities					
Bonds and borrowings	210,953		353,303		142,350
Lease liabilities	12,405		12,277		(128)
Trade payables	706,729		744,622		37,893
Other financial liabilities	165,890		214,851		48,961
Income taxes payables	52,333		27,758		(24,575)
Provisions	15,094		17,688		2,594
Other current liabilities	411,140		419,765		8,625
Subtotal	1,574,545		1,790,265		215,720
Liabilities directly associated with assets held for sale	—		984		984
Total current liabilities	1,574,545	35.7	1,791,248	37.7	216,703
Non-current liabilities					
Bonds and borrowings	332,678		336,208		3,530
Lease liabilities	59,934		62,614		2,680
Other financial liabilities	1,031		1,048		17
Retirement benefit liabilities	97,957		99,079		1,122
Provisions	10,639		11,702		1,063
Deferred tax liabilities	111,528		111,574		46
Other non-current liabilities	23,317		20,784		(2,533)
Total non-current liabilities	637,086	14.4	643,009	13.5	5,923
Total liabilities	2,211,630	50.1	2,434,258	51.2	222,628
Equity					
Equity attributable to owners of parent					
Share capital	32,641		32,641		—
Capital surplus	273		400		127
Retained earnings	1,409,670		1,452,605		42,935
Other components of equity	760,315		828,963		68,648
Treasury shares	(15,665)		(15,665)		(0)
Total equity attributable to owners of parent	2,187,234	49.5	2,298,943	48.4	111,709
Non-controlling interests	16,311	0.4	18,130	0.4	1,819
Total equity	2,203,545	49.9	2,317,073	48.8	113,528
Total liabilities and equity	4,415,175	100.0	4,751,331	100.0	336,156

https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260731/20260731504740.pdf | Borrowings, leases, pensions and minority equity are distinct claims.

(4) Condensed quarterly consolidated statements of cash flows

	Three months ended June 30, 2025 (April 1, 2025 - June 30, 2025)	Three months ended June 30, 2026 (April 1, 2026 - June 30, 2026)
	Amount (Millions of yen)	Amount (Millions of yen)
Cash flows from operating activities		
Net profit for the period	42,383	81,985
Depreciation and amortization	48,011	57,321
Impairment losses (reversal of impairment losses)	428	321
Finance income	(7,666)	(19,236)
Finance costs	6,015	10,567
Share of (profit)/loss of investments accounted for using the equity method	440	480
Income tax expense	15,247	12,515
Changes in assets and liabilities:		
Decrease (increase) in trade receivables	(16,737)	(108,748)
Decrease (increase) in inventories	(27,862)	(26,579)
Decrease (increase) in long-term advances to suppliers	2,746	3,818
Decrease (increase) in other current assets	(24,420)	(31,340)
Increase (decrease) in trade payables	38,973	17,583
Increase (decrease) in other current liabilities	(3,987)	16,332
Increase (decrease) in retirement benefit liabilities	(17)	(1,111)
Decrease (increase) in other financial assets	(2,848)	1,876
Increase (decrease) in other financial liabilities	3,911	5,044
Other	(5,212)	6,859
Subtotal	69,405	27,686
Interest and dividends received	4,484	12,530
Interest paid	(1,711)	(15,646)
Income taxes paid	(13,135)	(43,725)
Cash flows from operating activities	59,043	(19,154)

https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260731/20260731504740.pdf | Quarterly operating cash flow illustrates the working-capital burden.

Valuation, score and catalysts

The Q4 2027 ceiling capitalizes ¥391.659bn of forward-four-quarter common-attributable operating profit at 20x and divides by the modeled end-window common shares. It excludes financing income, securities gains and a sale-proceeds bonus. A change in technical evidence must first change a revenue vector, retained margin, cost, timing or ownership assumption before it changes this ceiling.

Base arithmetic is 15/20 Core Thesis, 8/10 Cycle, 8/10 TAM, 4/5 Catalysts, 7/10 Macro and 3/5 Alpha, less five risk points: **40/60, rounded to 67/100**. The component franchises earn credit; battery dependence, currency exposure, cash conversion, technical substitution and uncertain head ownership prevent a higher score.

The most useful next evidence is the October 30 report, actual head/suspension pricing, production yield and accepted inductor designs, BBU shipment economics, cash collection, and any defined head-business transaction. Failure conditions are equally concrete: richer revenue without margin retention, expensive capacity without qualified output, faster customer insourcing, or working-capital demands that force financing. The long-range forecast should be revisited as each becomes measurable.

Source coverage and remaining gaps

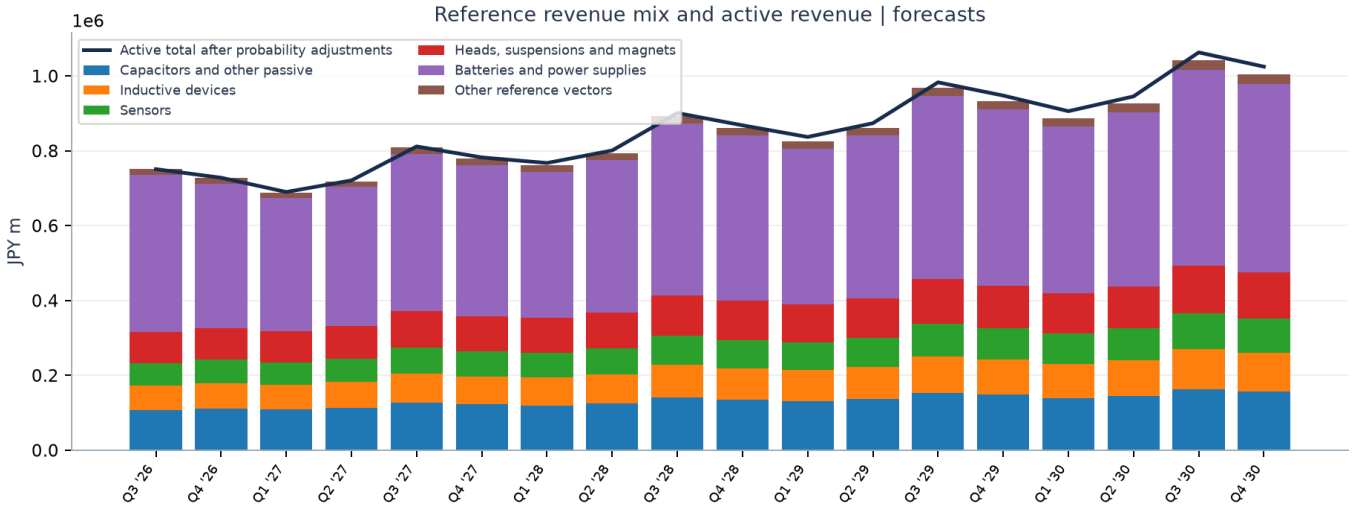
The latest annual and quarterly financial statements were preserved as original issuer-filed PDFs. April and July management discussions were reviewed, including the Japanese April Q&A; the September technical presentation and October 6 statement were checked. Direct TDK downloads returned HTTP403, so the financial originals are archived through their exchange-disclosure mirror. The full integrated report and a local copy of the September deck remain unavailable; the technical slide claims above were read online and are not represented as an archived image. The final document embeds the available original financial pages at the relevant sections. The September 24 GS battery report is also retained, with its TDK page embedded; its endpoint is distinguished from the active model's calendar timing, overlap and margin assumptions.

Customer-level capacity allocation, good-unit yields, realized SKU prices, exact future debt maturities, jurisdictional cash restrictions and transaction terms remain unresolved. They are disclosed gaps, not implicit zero-cost assumptions.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	15	Qualified materials/process franchises across heads, sensors, inductors and batteries; conglomerate mix dilutes direct scarcity exposure.
Cycle	8	Head utilization and AI passive demand are strengthening, while consumer electronics and auto remain cyclical.
TAM	8	Power-delivery complexity and high-density storage add component value; product qualification limits immediate capture.
Catalysts	4	October 30 results, customer repricing, the BBU ramp, 2028 HAMR production and thin-film qualification.
Macro	7	AI capital spending and storage demand support sales; foreign exchange, China exposure and consumer production are headwinds.
Alpha	3	Separate pack revenue from cells, sale proceeds from retained head earnings, and qualified component demand from broad AI spending.
Risk classes	-5	Customer and cycle concentration, substitution, capacity/yield costs, head ownership, working capital and foreign exchange.
Total	40/60	Rounded Base 67. Both artifact and new workbook row use this score; this is not a manual override.

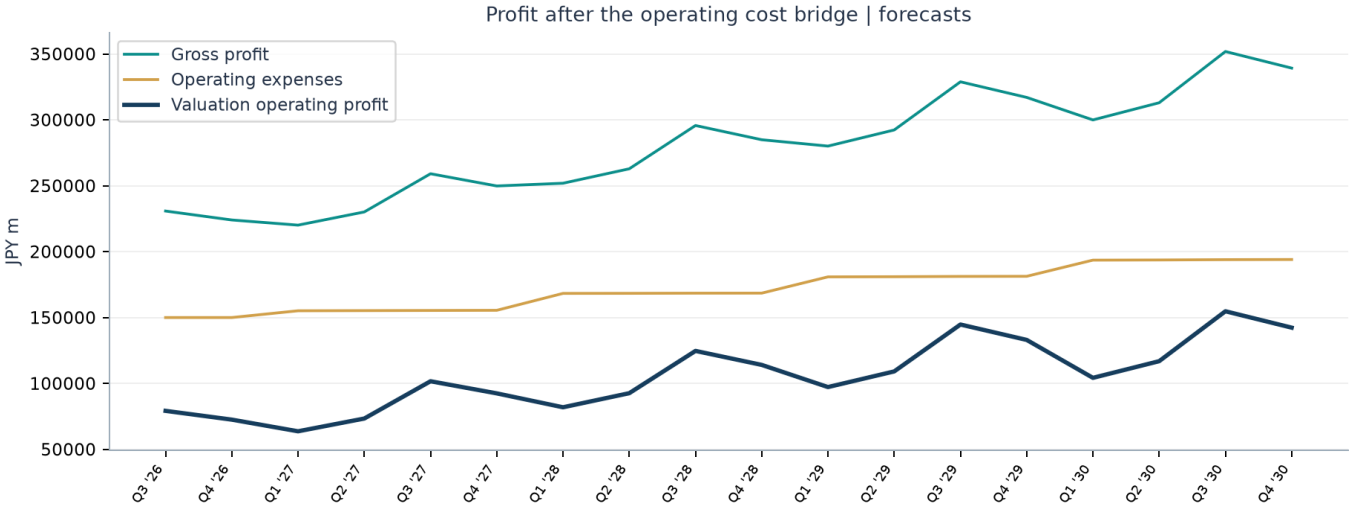
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	751,100.0	0.0	751,100.0
Q4 2026	728,000.0	193.4	728,193.4
Q1 2027	688,850.0	1,305.1	690,155.1
Q2 2027	718,800.0	2,266.2	721,066.2
Q3 2027	808,650.0	3,104.5	811,754.5
Q4 2027	778,700.0	3,811.8	782,511.8
Q1 2028	761,300.0	6,285.8	767,585.8
Q2 2028	794,400.0	6,637.2	801,037.2
Q3 2028	893,700.0	7,459.2	901,159.2
Q4 2028	860,600.0	7,647.8	868,247.8
Q1 2029	825,470.0	11,652.8	837,122.8
Q2 2029	861,360.0	12,448.0	873,808.0
Q3 2029	969,030.0	14,074.2	983,104.2
Q4 2029	933,140.0	14,629.1	947,769.1
Q1 2030	888,030.0	18,019.4	906,049.4
Q2 2030	926,640.0	18,903.2	945,543.2
Q3 2030	1,042,470.0	20,549.9	1,063,019.9
Q4 2030	1,003,860.0	21,166.0	1,025,026.0

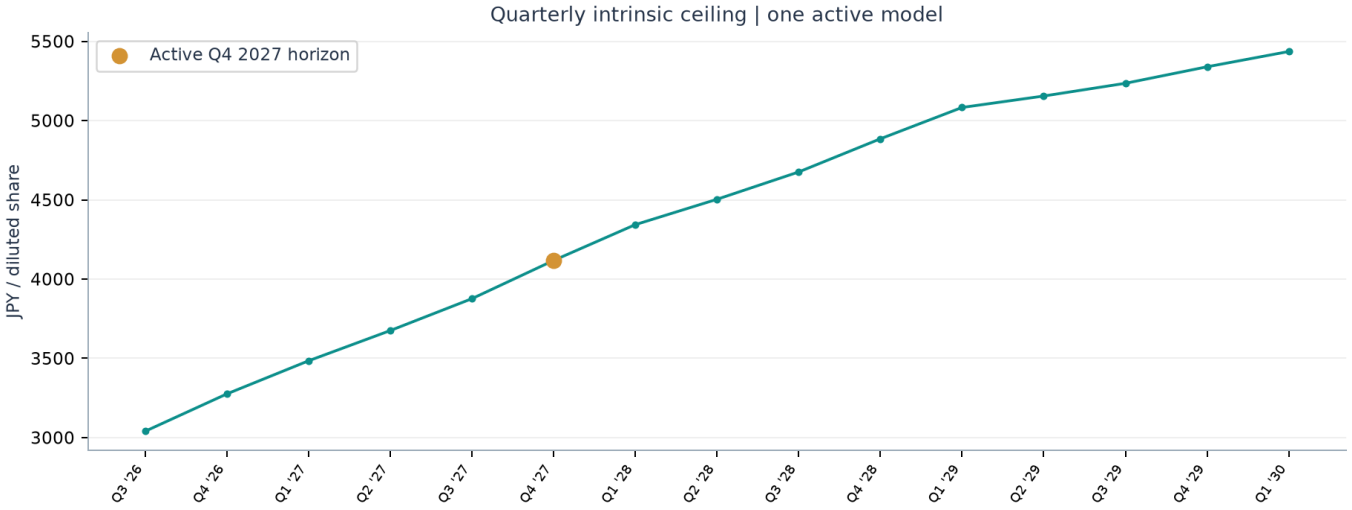
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	751,100.0	230,809.0	150,000.0	79,192.8	10.8%
Q4 2026	728,193.4	224,024.7	150,009.7	72,534.7	10.2%
Q1 2027	690,155.1	220,127.9	155,139.3	63,688.9	9.4%
Q2 2027	721,066.2	230,131.4	155,261.3	73,372.7	10.4%
Q3 2027	811,754.5	259,113.8	155,377.2	101,661.9	12.8%
Q4 2027	782,511.8	249,837.0	155,486.6	92,463.4	12.1%
Q1 2028	767,585.8	251,910.6	168,328.1	81,910.8	10.9%
Q2 2028	801,037.2	262,869.6	168,375.8	92,603.9	11.8%
Q3 2028	901,159.2	295,709.7	168,484.1	124,681.0	14.1%
Q4 2028	868,247.8	284,912.7	168,517.4	114,067.3	13.4%
Q1 2029	837,122.8	280,096.5	180,866.4	97,245.5	11.9%
Q2 2029	873,808.0	292,332.6	180,980.0	109,125.5	12.7%
Q3 2029	983,104.2	328,867.8	181,206.8	144,707.8	15.0%
Q4 2029	947,769.1	317,036.8	181,295.7	133,026.2	14.3%
Q1 2030	906,049.4	299,952.9	193,576.1	104,249.3	11.7%
Q2 2030	945,543.2	312,985.8	193,703.2	116,896.9	12.6%
Q3 2030	1,063,019.9	351,857.0	193,933.6	154,764.9	14.9%
Q4 2030	1,025,026.0	339,274.1	194,031.6	142,337.7	14.2%

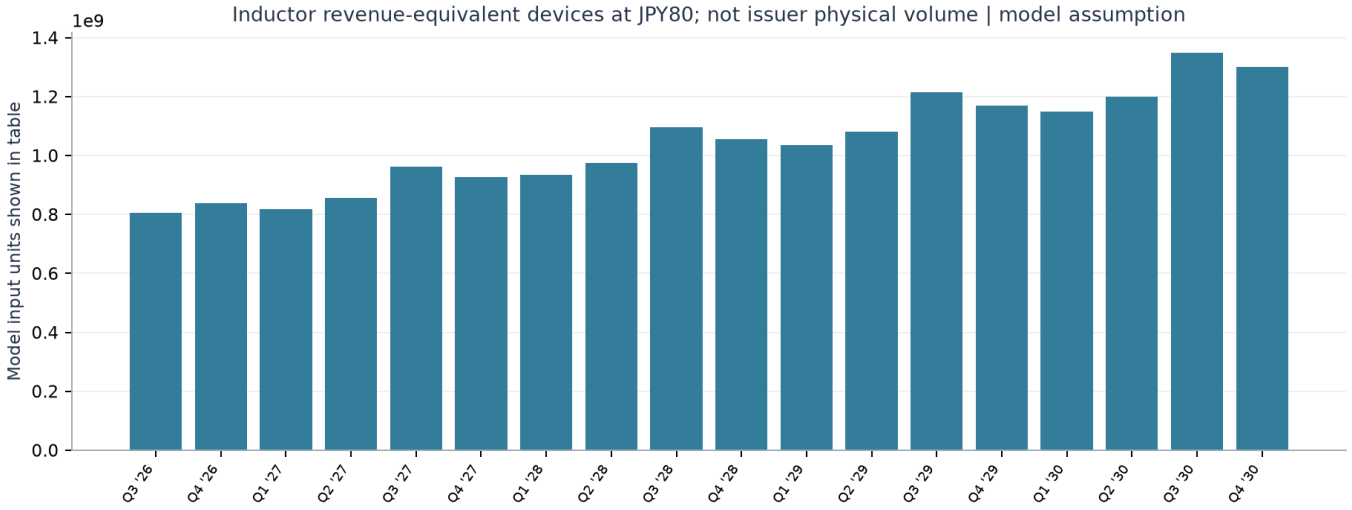
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	288,789.1	20x	1,900.052	3,039.80
Q4 2026	Q4 2026 to Q3 2027	311,258.1	20x	1,900.527	3,275.49
Q1 2027	Q1 2027 to Q4 2027	331,186.8	20x	1,901.002	3,484.34
Q2 2027	Q2 2027 to Q1 2028	349,408.8	20x	1,901.477	3,675.13
Q3 2027	Q3 2027 to Q2 2028	368,640.0	20x	1,901.952	3,876.44
Q4 2027	Q4 2027 to Q3 2028	391,659.2	20x	1,902.428	4,117.47
Q1 2028	Q1 2028 to Q4 2028	413,263.1	20x	1,902.903	4,343.50
Q2 2028	Q2 2028 to Q1 2029	428,597.7	20x	1,903.379	4,503.55
Q3 2028	Q3 2028 to Q2 2029	445,119.4	20x	1,903.854	4,675.98
Q4 2028	Q4 2028 to Q3 2029	465,146.1	20x	1,904.330	4,885.14
Q1 2029	Q1 2029 to Q4 2029	484,105.0	20x	1,904.806	5,082.99
Q2 2029	Q2 2029 to Q1 2030	491,108.8	20x	1,905.282	5,155.24
Q3 2029	Q3 2029 to Q2 2030	498,880.2	20x	1,905.758	5,235.50
Q4 2029	Q4 2029 to Q3 2030	508,937.3	20x	1,906.234	5,339.71
Q1 2030	Q1 2030 to Q4 2030	518,248.9	20x	1,906.711	5,436.05

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Inductor revenue-equivalent devices at JPY80; not issuer physical volume	Status
Q3 2026	806,250,000.000	Model assumption; Q3 2026 is not a released actual
Q4 2026	837,500,000.000	Model assumption; Q3 2026 is not a released actual
Q1 2027	819,375,000.000	Model assumption; Q3 2026 is not a released actual
Q2 2027	855,000,000.000	Model assumption; Q3 2026 is not a released actual
Q3 2027	961,875,000.000	Model assumption; Q3 2026 is not a released actual
Q4 2027	926,250,000.000	Model assumption; Q3 2026 is not a released actual
Q1 2028	934,375,000.000	Model assumption; Q3 2026 is not a released actual
Q2 2028	975,000,000.000	Model assumption; Q3 2026 is not a released actual
Q3 2028	1,096,875,000.000	Model assumption; Q3 2026 is not a released actual
Q4 2028	1,056,250,000.000	Model assumption; Q3 2026 is not a released actual
Q1 2029	1,035,000,000.000	Model assumption; Q3 2026 is not a released actual
Q2 2029	1,080,000,000.000	Model assumption; Q3 2026 is not a released actual
Q3 2029	1,215,000,000.000	Model assumption; Q3 2026 is not a released actual
Q4 2029	1,170,000,000.000	Model assumption; Q3 2026 is not a released actual
Q1 2030	1,150,000,000.000	Model assumption; Q3 2026 is not a released actual
Q2 2030	1,200,000,000.000	Model assumption; Q3 2026 is not a released actual
Q3 2030	1,350,000,000.000	Model assumption; Q3 2026 is not a released actual
Q4 2030	1,300,000,000.000	Model assumption; Q3 2026 is not a released actual

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Capacitors and other passive	108,000.0	28.5%	30,780.0
Q3 2026	Inductive devices	64,500.0	33.0%	21,285.0
Q3 2026	Sensors	60,800.0	38.0%	23,104.0
Q3 2026	Heads, suspensions and magnets	82,800.0	30.0%	24,840.0
Q3 2026	Batteries and power supplies	420,000.0	30.5%	128,100.0
Q3 2026	Equipment and other	15,000.0	18.0%	2,700.0
Q4 2026	Capacitors and other passive	111,000.0	28.5%	31,635.0
Q4 2026	Inductive devices	67,000.0	33.0%	22,110.0
Q4 2026	Sensors	64,000.0	38.0%	24,320.0
Q4 2026	Heads, suspensions and magnets	85,000.0	30.0%	25,500.0
Q4 2026	Batteries and power supplies	385,000.0	30.5%	117,425.0
Q4 2026	Equipment and other	16,000.0	18.0%	2,880.0
Q1 2027	Capacitors and other passive	109,250.0	29.0%	31,682.5
Q1 2027	Inductive devices	65,550.0	34.0%	22,287.0
Q1 2027	Sensors	59,800.0	39.0%	23,322.0
Q1 2027	Heads, suspensions and magnets	82,800.0	31.0%	25,668.0
Q1 2027	Batteries and power supplies	356,500.0	32.0%	114,080.0
Q1 2027	Equipment and other	14,950.0	20.0%	2,990.0
Q2 2027	Capacitors and other passive	114,000.0	29.0%	33,060.0
Q2 2027	Inductive devices	68,400.0	34.0%	23,256.0
Q2 2027	Sensors	62,400.0	39.0%	24,336.0
Q2 2027	Heads, suspensions and magnets	86,400.0	31.0%	26,784.0
Q2 2027	Batteries and power supplies	372,000.0	32.0%	119,040.0
Q2 2027	Equipment and other	15,600.0	20.0%	3,120.0
Q3 2027	Capacitors and other passive	128,250.0	29.0%	37,192.5
Q3 2027	Inductive devices	76,950.0	34.0%	26,163.0
Q3 2027	Sensors	70,200.0	39.0%	27,378.0
Q3 2027	Heads, suspensions and magnets	97,200.0	31.0%	30,132.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	Batteries and power supplies	418,500.0	32.0%	133,920.0
Q3 2027	Equipment and other	17,550.0	20.0%	3,510.0
Q4 2027	Capacitors and other passive	123,500.0	29.0%	35,815.0
Q4 2027	Inductive devices	74,100.0	34.0%	25,194.0
Q4 2027	Sensors	67,600.0	39.0%	26,364.0
Q4 2027	Heads, suspensions and magnets	93,600.0	31.0%	29,016.0
Q4 2027	Batteries and power supplies	403,000.0	32.0%	128,960.0
Q4 2027	Equipment and other	16,900.0	20.0%	3,380.0
Q1 2028	Capacitors and other passive	119,600.0	30.0%	35,880.0
Q1 2028	Inductive devices	74,750.0	35.5%	26,536.2
Q1 2028	Sensors	66,700.0	40.0%	26,680.0
Q1 2028	Heads, suspensions and magnets	92,000.0	32.5%	29,900.0
Q1 2028	Batteries and power supplies	391,000.0	32.5%	127,075.0
Q1 2028	Equipment and other	17,250.0	22.0%	3,795.0
Q2 2028	Capacitors and other passive	124,800.0	30.0%	37,440.0
Q2 2028	Inductive devices	78,000.0	35.5%	27,690.0
Q2 2028	Sensors	69,600.0	40.0%	27,840.0
Q2 2028	Heads, suspensions and magnets	96,000.0	32.5%	31,200.0
Q2 2028	Batteries and power supplies	408,000.0	32.5%	132,600.0
Q2 2028	Equipment and other	18,000.0	22.0%	3,960.0
Q3 2028	Capacitors and other passive	140,400.0	30.0%	42,120.0
Q3 2028	Inductive devices	87,750.0	35.5%	31,151.2
Q3 2028	Sensors	78,300.0	40.0%	31,320.0
Q3 2028	Heads, suspensions and magnets	108,000.0	32.5%	35,100.0
Q3 2028	Batteries and power supplies	459,000.0	32.5%	149,175.0
Q3 2028	Equipment and other	20,250.0	22.0%	4,455.0
Q4 2028	Capacitors and other passive	135,200.0	30.0%	40,560.0
Q4 2028	Inductive devices	84,500.0	35.5%	29,997.5
Q4 2028	Sensors	75,400.0	40.0%	30,160.0
Q4 2028	Heads, suspensions and magnets	104,000.0	32.5%	33,800.0
Q4 2028	Batteries and power supplies	442,000.0	32.5%	143,650.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Equipment and other	19,500.0	22.0%	4,290.0
Q1 2029	Capacitors and other passive	131,100.0	31.0%	40,641.0
Q1 2029	Inductive devices	82,800.0	36.0%	29,808.0
Q1 2029	Sensors	74,060.0	40.5%	29,994.3
Q1 2029	Heads, suspensions and magnets	101,660.0	33.0%	33,547.8
Q1 2029	Batteries and power supplies	416,300.0	33.0%	137,379.0
Q1 2029	Equipment and other	19,550.0	23.0%	4,496.5
Q2 2029	Capacitors and other passive	136,800.0	31.0%	42,408.0
Q2 2029	Inductive devices	86,400.0	36.0%	31,104.0
Q2 2029	Sensors	77,280.0	40.5%	31,298.4
Q2 2029	Heads, suspensions and magnets	106,080.0	33.0%	35,006.4
Q2 2029	Batteries and power supplies	434,400.0	33.0%	143,352.0
Q2 2029	Equipment and other	20,400.0	23.0%	4,692.0
Q3 2029	Capacitors and other passive	153,900.0	31.0%	47,709.0
Q3 2029	Inductive devices	97,200.0	36.0%	34,992.0
Q3 2029	Sensors	86,940.0	40.5%	35,210.7
Q3 2029	Heads, suspensions and magnets	119,340.0	33.0%	39,382.2
Q3 2029	Batteries and power supplies	488,700.0	33.0%	161,271.0
Q3 2029	Equipment and other	22,950.0	23.0%	5,278.5
Q4 2029	Capacitors and other passive	148,200.0	31.0%	45,942.0
Q4 2029	Inductive devices	93,600.0	36.0%	33,696.0
Q4 2029	Sensors	83,720.0	40.5%	33,906.6
Q4 2029	Heads, suspensions and magnets	114,920.0	33.0%	37,923.6
Q4 2029	Batteries and power supplies	470,600.0	33.0%	155,298.0
Q4 2029	Equipment and other	22,100.0	23.0%	5,083.0
Q1 2030	Capacitors and other passive	139,150.0	31.0%	43,136.5
Q1 2030	Inductive devices	92,000.0	36.0%	33,120.0
Q1 2030	Sensors	80,500.0	40.0%	32,200.0
Q1 2030	Heads, suspensions and magnets	108,100.0	32.5%	35,132.5
Q1 2030	Batteries and power supplies	446,200.0	32.5%	145,015.0
Q1 2030	Equipment and other	22,080.0	23.0%	5,078.4

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Capacitors and other passive	145,200.0	31.0%	45,012.0
Q2 2030	Inductive devices	96,000.0	36.0%	34,560.0
Q2 2030	Sensors	84,000.0	40.0%	33,600.0
Q2 2030	Heads, suspensions and magnets	112,800.0	32.5%	36,660.0
Q2 2030	Batteries and power supplies	465,600.0	32.5%	151,320.0
Q2 2030	Equipment and other	23,040.0	23.0%	5,299.2
Q3 2030	Capacitors and other passive	163,350.0	31.0%	50,638.5
Q3 2030	Inductive devices	108,000.0	36.0%	38,880.0
Q3 2030	Sensors	94,500.0	40.0%	37,800.0
Q3 2030	Heads, suspensions and magnets	126,900.0	32.5%	41,242.5
Q3 2030	Batteries and power supplies	523,800.0	32.5%	170,235.0
Q3 2030	Equipment and other	25,920.0	23.0%	5,961.6
Q4 2030	Capacitors and other passive	157,300.0	31.0%	48,763.0
Q4 2030	Inductive devices	104,000.0	36.0%	37,440.0
Q4 2030	Sensors	91,000.0	40.0%	36,400.0
Q4 2030	Heads, suspensions and magnets	122,200.0	32.5%	39,715.0
Q4 2030	Batteries and power supplies	504,400.0	32.5%	163,930.0
Q4 2030	Equipment and other	24,960.0	23.0%	5,740.8

Operating-cost derivation

Quarter	Research and development, expensed	Other recurring SG&A, including SBC
Q3 2026	77,500.0	72,500.0
Q4 2026	77,500.0	72,500.0
Q1 2027	85,000.0	70,000.0
Q2 2027	85,000.0	70,000.0
Q3 2027	85,000.0	70,000.0
Q4 2027	85,000.0	70,000.0
Q1 2028	92,500.0	75,000.0
Q2 2028	92,500.0	75,000.0
Q3 2028	92,500.0	75,000.0
Q4 2028	92,500.0	75,000.0
Q1 2029	98,750.0	80,500.0
Q2 2029	98,750.0	80,500.0
Q3 2029	98,750.0	80,500.0
Q4 2029	98,750.0	80,500.0
Q1 2030	105,000.0	86,000.0
Q2 2030	105,000.0	86,000.0
Q3 2030	105,000.0	86,000.0
Q4 2030	105,000.0	86,000.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Weighted OP below is after the stated minority operating-profit attribution. Conditional gross profit and expenses remain consolidated figures.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	TDK-HEAD-PRICE	65%	0.0	0.0	0.0	0.0
Q3 2026	TDK-PASSIVE-WINS	55%	0.0	0.0	0.0	0.0
Q3 2026	TDK-HDD-RESIDUAL	45%	0.0	0.0	0.0	0.0
Q3 2026	TDK-BATTERY-COST	30%	0.0	0.0	0.0	0.0
Q3 2026	TDK-AIDC-BATTERIES	30%	0.0	0.0	0.0	0.0
Q4 2026	TDK-HEAD-PRICE	65%	297.5	238.0	14.9	142.1
Q4 2026	TDK-PASSIVE-WINS	55%	0.0	0.0	0.0	0.0
Q4 2026	TDK-HDD-RESIDUAL	45%	0.0	0.0	0.0	0.0
Q4 2026	TDK-BATTERY-COST	30%	0.0	0.0	0.0	0.0
Q4 2026	TDK-AIDC-BATTERIES	30%	0.0	0.0	0.0	0.0
Q1 2027	TDK-HEAD-PRICE	65%	869.4	695.5	43.5	415.4
Q1 2027	TDK-PASSIVE-WINS	55%	800.0	360.0	120.0	129.4
Q1 2027	TDK-HDD-RESIDUAL	45%	0.0	0.0	0.0	0.0
Q1 2027	TDK-BATTERY-COST	30%	0.0	-2,139.0	0.0	-628.9
Q1 2027	TDK-AIDC-BATTERIES	30%	1,000.0	300.0	150.0	44.1
Q2 2027	TDK-HEAD-PRICE	65%	1,209.6	967.7	60.5	577.9
Q2 2027	TDK-PASSIVE-WINS	55%	1,600.0	720.0	240.0	258.7
Q2 2027	TDK-HDD-RESIDUAL	45%	0.0	0.0	0.0	0.0
Q2 2027	TDK-BATTERY-COST	30%	0.0	-2,232.0	0.0	-656.2
Q2 2027	TDK-AIDC-BATTERIES	30%	2,000.0	600.0	300.0	88.2
Q3 2027	TDK-HEAD-PRICE	65%	1,360.8	1,088.6	68.0	650.1
Q3 2027	TDK-PASSIVE-WINS	55%	2,400.0	1,080.0	360.0	388.1
Q3 2027	TDK-HDD-RESIDUAL	45%	0.0	0.0	0.0	0.0
Q3 2027	TDK-BATTERY-COST	30%	0.0	-2,511.0	0.0	-738.2
Q3 2027	TDK-AIDC-BATTERIES	30%	3,000.0	900.0	450.0	132.3
Q4 2027	TDK-HEAD-PRICE	65%	1,310.4	1,048.3	65.5	626.0
Q4 2027	TDK-PASSIVE-WINS	55%	3,200.0	1,440.0	480.0	517.4
Q4 2027	TDK-HDD-RESIDUAL	45%	0.0	0.0	0.0	0.0
Q4 2027	TDK-BATTERY-COST	30%	0.0	-2,418.0	0.0	-710.9
Q4 2027	TDK-AIDC-BATTERIES	30%	4,000.0	1,200.0	600.0	176.4

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	TDK-HEAD-PRICE	65%	1,288.0	1,030.4	64.4	615.3
Q1 2028	TDK-PASSIVE-WINS	55%	4,752.0	2,138.4	712.8	768.4
Q1 2028	TDK-HDD-RESIDUAL	45%	2,300.0	805.0	276.0	233.3
Q1 2028	TDK-BATTERY-COST	30%	0.0	-2,346.0	0.0	-689.7
Q1 2028	TDK-AIDC-BATTERIES	30%	6,000.0	1,800.0	900.0	264.6
Q2 2028	TDK-HEAD-PRICE	65%	1,344.0	1,075.2	67.2	642.1
Q2 2028	TDK-PASSIVE-WINS	55%	4,752.0	2,138.4	712.8	768.4
Q2 2028	TDK-HDD-RESIDUAL	45%	2,400.0	840.0	288.0	243.4
Q2 2028	TDK-BATTERY-COST	30%	0.0	-2,448.0	0.0	-719.7
Q2 2028	TDK-AIDC-BATTERIES	30%	6,900.0	2,070.0	1,035.0	304.3
Q3 2028	TDK-HEAD-PRICE	65%	1,512.0	1,209.6	75.6	722.4
Q3 2028	TDK-PASSIVE-WINS	55%	5,148.0	2,316.6	772.2	832.4
Q3 2028	TDK-HDD-RESIDUAL	45%	2,700.0	945.0	324.0	273.9
Q3 2028	TDK-BATTERY-COST	30%	0.0	-2,754.0	0.0	-809.7
Q3 2028	TDK-AIDC-BATTERIES	30%	8,100.0	2,430.0	1,215.0	357.2
Q4 2028	TDK-HEAD-PRICE	65%	1,456.0	1,164.8	72.8	695.6
Q4 2028	TDK-PASSIVE-WINS	55%	5,148.0	2,316.6	772.2	832.4
Q4 2028	TDK-HDD-RESIDUAL	45%	2,600.0	910.0	312.0	263.7
Q4 2028	TDK-BATTERY-COST	30%	0.0	-2,652.0	0.0	-779.7
Q4 2028	TDK-AIDC-BATTERIES	30%	9,000.0	2,700.0	1,350.0	396.9
Q1 2029	TDK-HEAD-PRICE	65%	1,067.4	853.9	53.4	510.0
Q1 2029	TDK-PASSIVE-WINS	55%	7,980.0	3,591.0	1,197.0	1,290.4
Q1 2029	TDK-HDD-RESIDUAL	45%	4,600.0	1,610.0	552.0	466.6
Q1 2029	TDK-BATTERY-COST	30%	0.0	-1,248.9	0.0	-367.2
Q1 2029	TDK-AIDC-BATTERIES	30%	15,000.0	4,500.0	2,250.0	661.5
Q2 2029	TDK-HEAD-PRICE	65%	1,113.8	891.1	55.7	532.1
Q2 2029	TDK-PASSIVE-WINS	55%	7,980.0	3,591.0	1,197.0	1,290.4
Q2 2029	TDK-HDD-RESIDUAL	45%	4,800.0	1,680.0	576.0	486.9
Q2 2029	TDK-BATTERY-COST	30%	0.0	-1,303.2	0.0	-383.1
Q2 2029	TDK-AIDC-BATTERIES	30%	17,250.0	5,175.0	2,587.5	760.7
Q3 2029	TDK-HEAD-PRICE	65%	1,253.1	1,002.5	62.7	598.7
Q3 2029	TDK-PASSIVE-WINS	55%	8,645.0	3,890.2	1,296.8	1,397.9
Q3 2029	TDK-HDD-RESIDUAL	45%	5,400.0	1,890.0	648.0	547.7
Q3 2029	TDK-BATTERY-COST	30%	0.0	-1,466.1	0.0	-431.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2029	TDK-AIDC-BATTERIES	30%	20,250.0	6,075.0	3,037.5	893.0
Q4 2029	TDK-HEAD-PRICE	65%	1,206.7	965.3	60.3	576.5
Q4 2029	TDK-PASSIVE-WINS	55%	8,645.0	3,890.2	1,296.8	1,397.9
Q4 2029	TDK-HDD-RESIDUAL	45%	5,200.0	1,820.0	624.0	527.4
Q4 2029	TDK-BATTERY-COST	30%	0.0	-1,411.8	0.0	-415.1
Q4 2029	TDK-AIDC-BATTERIES	30%	22,500.0	6,750.0	3,375.0	992.2
Q1 2030	TDK-HEAD-PRICE	65%	756.7	605.4	37.8	361.5
Q1 2030	TDK-PASSIVE-WINS	55%	10,800.0	4,860.0	1,620.0	1,746.4
Q1 2030	TDK-HDD-RESIDUAL	45%	5,750.0	2,012.5	690.0	583.2
Q1 2030	TDK-BATTERY-COST	30%	0.0	-1,338.6	0.0	-393.5
Q1 2030	TDK-AIDC-BATTERIES	30%	30,000.0	9,000.0	4,500.0	1,323.0
Q2 2030	TDK-HEAD-PRICE	65%	789.6	631.7	39.5	377.2
Q2 2030	TDK-PASSIVE-WINS	55%	10,800.0	4,860.0	1,620.0	1,746.4
Q2 2030	TDK-HDD-RESIDUAL	45%	6,000.0	2,100.0	720.0	608.6
Q2 2030	TDK-BATTERY-COST	30%	0.0	-1,396.8	0.0	-410.7
Q2 2030	TDK-AIDC-BATTERIES	30%	32,500.0	9,750.0	4,875.0	1,433.2
Q3 2030	TDK-HEAD-PRICE	65%	888.3	710.6	44.4	424.4
Q3 2030	TDK-PASSIVE-WINS	55%	11,700.0	5,265.0	1,755.0	1,891.9
Q3 2030	TDK-HDD-RESIDUAL	45%	6,750.0	2,362.5	810.0	684.7
Q3 2030	TDK-BATTERY-COST	30%	0.0	-1,571.4	0.0	-462.0
Q3 2030	TDK-AIDC-BATTERIES	30%	35,000.0	10,500.0	5,250.0	1,543.5
Q4 2030	TDK-HEAD-PRICE	65%	855.4	684.3	42.8	408.7
Q4 2030	TDK-PASSIVE-WINS	55%	11,700.0	5,265.0	1,755.0	1,891.9
Q4 2030	TDK-HDD-RESIDUAL	45%	6,500.0	2,275.0	780.0	659.3
Q4 2030	TDK-BATTERY-COST	30%	0.0	-1,513.2	0.0	-444.9
Q4 2030	TDK-AIDC-BATTERIES	30%	37,500.0	11,250.0	5,625.0	1,653.8

Consolidated profit to the common shareholder claim

Minority attribution is an earnings allocation, not operating expense or a fixed book-value deduction. Its rate is a disclosed model proxy and moves with reference profit and each probability-weighted change.

Quarter	Consolidated OP	Minority rate	Minority allocation	Owner OP
Q3 2026	80,809.0	2.0%	1,616.2	79,192.8
Q4 2026	74,015.0	2.0%	1,480.3	72,534.7
Q1 2027	64,988.6	2.0%	1,299.8	63,688.9
Q2 2027	74,870.1	2.0%	1,497.4	73,372.7
Q3 2027	103,736.6	2.0%	2,074.7	101,661.9
Q4 2027	94,350.4	2.0%	1,887.0	92,463.4
Q1 2028	83,582.5	2.0%	1,671.6	81,910.8
Q2 2028	94,493.8	2.0%	1,889.9	92,603.9
Q3 2028	127,225.5	2.0%	2,544.5	124,681.0
Q4 2028	116,395.2	2.0%	2,327.9	114,067.3
Q1 2029	99,230.1	2.0%	1,984.6	97,245.5
Q2 2029	111,352.6	2.0%	2,227.1	109,125.5
Q3 2029	147,661.0	2.0%	2,953.2	144,707.8
Q4 2029	135,741.0	2.0%	2,714.8	133,026.2
Q1 2030	106,376.8	2.0%	2,127.5	104,249.3
Q2 2030	119,282.6	2.0%	2,385.7	116,896.9
Q3 2030	157,923.4	2.0%	3,158.5	154,764.9
Q4 2030	145,242.6	2.0%	2,904.9	142,337.7

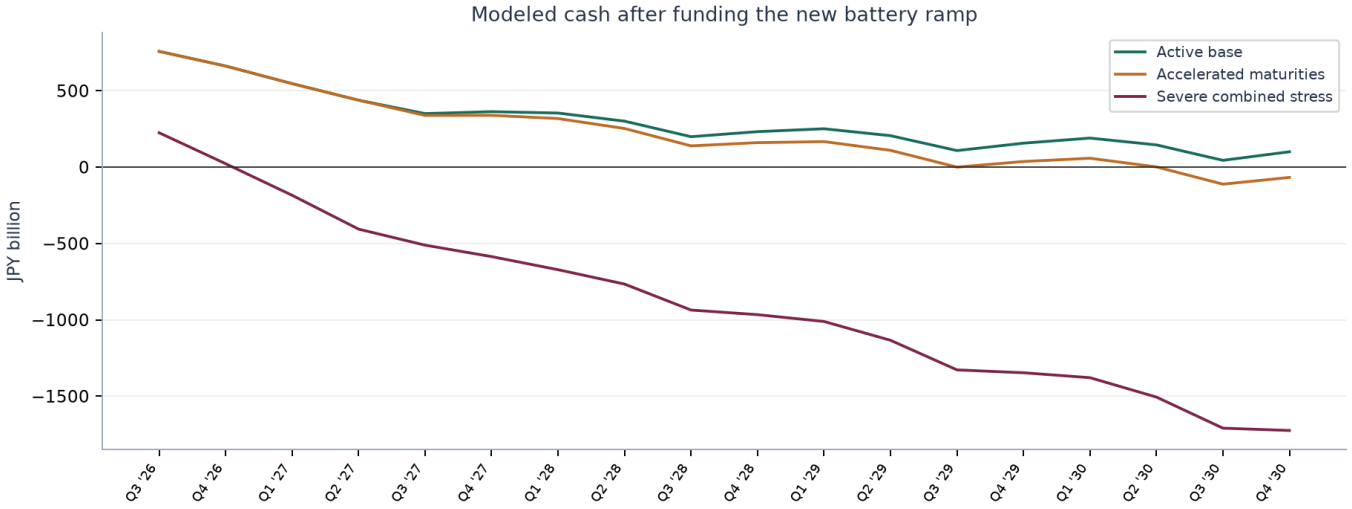
AI/DC battery timing and the overlap reserve

JPY millions. Conditional total sales are the labeled ASTRA annual timing path toward the bank endpoint. Reserve 50% for existing Energy growth before applying the 30% economic realization probability. GP 30% less incremental operating expenses 15% gives 15% consolidated operating contribution; common OP is then reduced by the existing 2% minority proxy.

Quarter	Total conditional sales	Overlap reserve	Weighted added revenue	Weighted common OP
Q3 2026	0.0	0.0	0.0	0.0
Q4 2026	0.0	0.0	0.0	0.0
Q1 2027	2,000.0	1,000.0	300.0	44.1
Q2 2027	4,000.0	2,000.0	600.0	88.2
Q3 2027	6,000.0	3,000.0	900.0	132.3
Q4 2027	8,000.0	4,000.0	1,200.0	176.4
Q1 2028	12,000.0	6,000.0	1,800.0	264.6
Q2 2028	13,800.0	6,900.0	2,070.0	304.3
Q3 2028	16,200.0	8,100.0	2,430.0	357.2
Q4 2028	18,000.0	9,000.0	2,700.0	396.9
Q1 2029	30,000.0	15,000.0	4,500.0	661.5
Q2 2029	34,500.0	17,250.0	5,175.0	760.7
Q3 2029	40,500.0	20,250.0	6,075.0	893.0
Q4 2029	45,000.0	22,500.0	6,750.0	992.2
Q1 2030	60,000.0	30,000.0	9,000.0	1,323.0
Q2 2030	65,000.0	32,500.0	9,750.0	1,433.2
Q3 2030	70,000.0	35,000.0	10,500.0	1,543.5
Q4 2030	75,000.0	37,500.0	11,250.0	1,653.8

Funding the additional battery ramp

The base cash bridge retains the previous debt, tax, interest, lease, pension and dividend conventions. New battery revenue requires the same working-capital formula, 20% incremental capex and a 6% ordinary-depreciation addback. Depreciation is already included in COGS. No transaction proceeds or repeat acquisition payment are inserted.



Cash is not added to the operating-profit valuation. Stress deficits signal uncommitted funding or capital-action requirements.

Quarter	Cash-flow proxy	Total capex	Added battery capex	Working-capital change	End cash
Q3 2026	95,264.6	92,500.0	0.0	10,801.7	757,635.9
Q4 2026	112,112.2	92,500.0	0.0	-10,801.7	661,922.3
Q1 2027	100,010.0	100,060.0	60.0	0.0	546,546.6
Q2 2027	106,945.1	100,120.0	120.0	0.0	438,045.9
Q3 2027	51,467.6	100,180.0	180.0	75,702.0	350,326.1
Q4 2027	151,907.0	100,240.0	240.0	-31,289.8	362,985.7
Q1 2028	135,336.5	105,360.0	360.0	-15,970.8	353,954.8
Q2 2028	91,226.8	105,414.0	414.0	35,793.0	300,760.2
Q3 2028	42,823.1	105,486.0	486.0	107,130.5	199,089.9
Q4 2028	177,603.9	105,540.0	540.0	-35,215.2	232,146.4
Q1 2029	168,784.8	110,900.0	900.0	-33,303.7	251,023.7
Q2 2029	104,754.2	111,035.0	1,035.0	39,253.1	205,735.5
Q3 2029	52,530.2	111,215.0	1,215.0	116,947.0	108,043.3
Q4 2029	198,982.4	111,350.0	1,350.0	-37,808.6	156,668.2
Q1 2030	189,143.9	116,800.0	1,800.0	-44,640.1	190,004.7
Q2 2030	111,324.4	116,950.0	1,950.0	42,258.5	145,371.6
Q3 2030	54,976.3	117,100.0	2,100.0	125,700.0	44,240.5
Q4 2030	212,498.3	117,250.0	2,250.0	-40,653.5	100,481.3

Funding sensitivities and battery sensitivity bounds

Funding case	Minimum cash	Ending cash	Maximum external funding need
base	44,240.5	100,481.3	0.0
accelerated maturity	-111,856.1	-67,622.7	111,856.1
stress	-1,724,619.2	-1,724,619.2	1,724,619.2

Severe stress combines 25% unavailable opening cash, 10% lower sales, 40% lost contribution, a further 2 percentage-point margin cost, 30 more receivable days, 20% higher total capex and settlement of all identified other current financial liabilities. It is not the active forecast. No committed financing is inferred.

Diagnostic only; annual path scaled in proportion to the terminal endpoint, not an alternate active forecast

FY3/31 sales JPYbn	Overlap	OP margin	p	Q4 2027 added ceiling	Q4 2027 ceiling
200	25%	10%	20%	5.15	4,111.03
200	25%	10%	40%	10.30	4,116.18
200	25%	20%	20%	10.30	4,116.18
200	25%	20%	40%	20.61	4,126.48
200	75%	10%	20%	1.72	4,107.59
200	75%	10%	40%	3.43	4,109.31
200	75%	20%	20%	3.43	4,109.31
200	75%	20%	40%	6.87	4,112.75
300	25%	10%	20%	7.73	4,113.60
300	25%	10%	40%	15.45	4,121.33
300	25%	20%	20%	15.45	4,121.33
300	25%	20%	40%	30.91	4,136.78
300	75%	10%	20%	2.58	4,108.45
300	75%	10%	40%	5.15	4,111.03
300	75%	20%	20%	5.15	4,111.03
300	75%	20%	40%	10.30	4,116.18

Claim decisions, overlap and triggers

TDK-HEAD-PRICE

p: 0.65

source ids: July_QA April_QA_JP

date: 2026-07-31

hypothesis: Supply-demand pricing is realized on eligible head and suspension shipments.

reference: The magnetic vector already contains higher wafer starts, approximately 20% suspension capacity growth, strong captive-customer demand and later HAMR mix. Ordinary productivity and mix are embedded in reference margins.

Conditional: A 4% premium on 50% of a 70% head/suspension share of magnetic reference sales. Ramp: 25% in Q4 2026, 75% in Q1 2027 and 100% from Q2 2027 through 2028; 75% in 2029 and 50% in 2030.

bounds: Premium 2-6%; eligible shipments 30-70%; retained operating contribution 60-85%.

overlap: Only reference shipments qualify. Excludes magnets, the separate incremental-unit branch, and any second utilization margin uplift.

cost bridge: Premium gross-profit retention of 80%, less incremental qualification and selling expense of 5%, leaves 75% conditional operating contribution.

timing: Customer repricing followed by accepted shipments; no retroactive reprice of fixed backlog.

why p: July management explicitly identified pricing for both heads and suspensions, beyond generic industry scarcity. Eligible contracts and achieved prices remain undisclosed.

counter: Captive customer bargaining, HAMR ramp costs, mix and declining legacy head demand can offset higher quoted prices.

TDK-PASSIVE-WINS

p: 0.55

source ids: Passive_September July_QA

date: 2026-09-11

hypothesis: Qualified thin-film inductor and power-component wins exceed the strong reference.

reference: Reference inductor sales rise from JPY285bn in 2027 to JPY400bn in 2030; capacitors and other passive sales rise from JPY475bn to JPY605bn. AI-related sales are a cross-cut of these vectors.

Conditional: Additional equivalent devices of 100m, 220m, 350m and 450m in 2027-30 at JPY80, 90, 95 and 100 each produce conditional revenue of JPY8bn, 19.8bn, 33.25bn and 45bn.

bounds: For 2028: 100-300m equivalent devices at JPY60-120. These are allocation proxies across unlike SKUs, not issuer shipment counts.

overlap: Only revenue above the reference is counted. The 10x FY3/31 AI-passive ambition is not added again. Module, board and package integration are alternative capture routes within this pool.

cost bridge: Gross margin of 45%, less incremental R&D, customer qualification and selling cost of 15%, leaves 30% operating contribution. Ordinary depreciation remains in reference costs.

timing: 2027 recognition shares: 10%, 20%, 30% and 40%; later years: 24%, 24%, 26% and 26%.

why p: New technical exhibits show higher current density and low-profile need, plus capacity investment. Named customer allocations and good-output yield are incomplete.

counter: Inductor substitution, lower discrete component counts, thin-film yield, application redesign, customer qualification and Murata/TaiyoYuden alternatives.

TDK-HDD-RESIDUAL

p: 0.45

source ids: April_call July_QA

date: 2026-07-31; October Toshiba overlap

hypothesis: Additional accepted head/suspension demand exceeds the reference ramp.

reference: Reference sales already reflect strong storage demand, the 50% nearline-head volume guidance scope and 22% suspension volume growth for FY3/27. Toshiba capacity announcements are not wholly incremental.

Conditional: Conditional extra revenue is zero, JPY10bn, JPY20bn and JPY25bn in 2027-30. At JPY10,000 per equivalent head/suspension content set, this is zero, 1m, 2m and 2.5m additional sets.

bounds: For 2028: JPY0-20bn; equivalent content-set ASP JPY6,000-14,000. This is not a whole-drive price.

overlap: The 2027 increment is zero because the announced customer expansion overlaps the existing ramp. Only later accepted output above the reference is counted.

cost bridge: Gross margin of 35%, less additional HAMR development, qualification and support cost of 12%, leaves 23% operating contribution.

timing: 2028 starts alongside the issuer HAMR production objective. Nominal Toshiba factory capacity is not a TDK order.

why p: Structural data demand and established product supply support a positive later increment; customer insourcing and bit-density gains limit external head units.

counter: More terabytes per drive can meet data growth without matching drive-unit growth. Toshiba execution and customer internal head capacity can lower external orders.

TDK-BATTERY-COST

p: 0.3

source ids: July_QA q1_financial

date: 2026-07-31

hypothesis: Residual battery material and pack-mix costs exceed the reference.

reference: Pack-business growth is modeled as mixed economics, not 42% cell-volume growth. Energy gross margins of 32-33% are model allocations before group R&D and SG&A.

Conditional: Additional COGS of 0.6% of Energy reference sales in 2027-28 and 0.3% in 2029-30.

bounds: Zero to 1.2% additional cost on the Energy revenue pool.

overlap: Ordinary price erosion and normal input costs are already in the reference. No second blanket smartphone-demand haircut is added.

cost bridge: Additional COGS reduces gross profit and operating profit one-for-one.

timing: Recognized as new material procurement and pack mix flow through shipments.

why p: Management flags material inflation; buyer concentration, cell pricing and pack pass-through make retained economics uncertain.

counter: Remove if mix-adjusted margins and cash conversion demonstrate resilience. Revenue growth alone does not establish pricing power.

TDK-HEAD-TRANSACTION

p: 0.35

source ids: Head_statement

date: 2026-10-06

hypothesis: A sale or joint venture changes the perimeter of the head business.

reference: All operating rows retain existing head ownership; no announced sale is treated as completed.

Conditional: A separate paired scenario removes the modeled head operating-profit pool and adds net consideration once. Central consideration equals 20x matched forward head operating profit, making transaction and retained values equal.

bounds: Net consideration of 10-25x matched forward head operating profit. The full-head perimeter proxy is 60% of magnetic operating profit after allocated cost. Actual perimeter and consideration remain unknown.

overlap: Ownership change adds no production capacity. Do not retain full profit and add sale cash. Existing growth and pricing branches remain in the matched head-profit pool.

cost bridge: Valuation sensitivity only; no invented GAAP expense. A 35% transaction probability is explicit. The central increment is zero because transaction economics are indeterminate, rather than because official confirmation is absent.

timing: No transaction timetable is announced. The diagnostic assumes a sale at the valuation window for consistent comparison.

why p: Credible transaction reporting and the issuer portfolio-management statement support a nonzero chance; buyer, perimeter and price are unresolved.

counter: The no-decision statement neither rules out a transaction nor proves one. Retained stakes, IP licenses, transition costs and taxes could change value in either direction.

TDK-AIDC-BATTERIES

p: 0.3

date: 2026-09-24

source ids: GS_BBU_20260924 July_QA Linergy_20260519

hypothesis: Qualified AI/data-center medium-sized battery revenue, including UPS and BBU, scales toward the bank endpoint in FY3/31.

reference: Existing Energy reference sales are JPY1,550bn/1,700bn/1,810bn/1,940bn in CY2027-30 and already allow strong battery growth. Previously BBU was qualitative; no positive company-specific UPS/BBU branch existed.

Conditional: ASTRA timing assumptions: total AI/DC UPS+BBU sales JPY20bn/60bn/150bn/270bn in CY2027-30. The GS source gives a nearly JPY300bn FY3/31 endpoint and almost no FY3/26 AI/DC medium-battery sales; it does not give this annual ramp.

bounds: Sensitivity: terminal FY3/31 sales JPY200-300bn; overlap reserve 25-75%; operating contribution margin 10-20%; probability 20-40%. Annual paths are scaled proportionally to terminal sales only in this diagnostic.

overlap: Reserve 50% of the conditional total against Energy growth already modeled. Residual conditional sales JPY10bn/30bn/75bn/135bn; probability-weighted revenue JPY3bn/9bn/22.5bn/40.5bn. Do not add the global finished-BBU-system TAM or other suppliers' sales.

cost bridge: 30% gross margin less 15% incremental R&D, qualification and selling costs leaves 15% consolidated operating contribution; the existing 2% minority allocation then applies. Depreciation of 6% of added revenue is included in COGS; funding adds it back once and deducts 20% incremental capex, with the unchanged working-capital formula.

timing: 2027: 10/20/30/40% recognition; 2028-29: 20/23/27/30%. 2030 conditional quarterly sales JPY60bn/65bn/70bn/75bn. Hypothetical Q1 2031 sales JPY90bn reconciles Q2-Q4 2030 plus Q1 2031 to the JPY300bn FY3/31 endpoint; it is outside active model rows. Calendar 2026 increment is zero because the bank anticipates a later expansion and the existing Energy reference already includes early production.

why p: 30% is a subjective economic-realization probability: a named company-specific bank endpoint and issuer-described customer go-aheads/HVDC BBU production support a positive case. Share, capacity, qualification, price, margin and the later ramp remain uncertain. The bank endpoint is not independent confirmation of management-related evidence.

counter: Reduce or delay for missed customer acceptance, less usable capacity, weaker margins, higher funding needs, cheaper competing cells or more overlap with existing Energy growth. Raise only with independent evidence of accepted sales, qualified capacity, retained margins and cash conversion. Linergy's very small prior revenue and operating loss are ramp-cost counter-evidence.

affected cells: Quarterly TDK_Q_Model revenue, gross profit, incremental opex, common-attributable OP, rolling four-quarter ceilings and funding. No change to the valuation method, Base, share schedule, reference vectors, head-profit proxy or other branches.

Remaining bounded uncertainties

- Exact customer allocations, SKU prices, wafer starts, good-output yield and realized repricing are undisclosed. Forecast product gross margins and unit equivalents are explicit allocation assumptions.

- No completed head sale is known. The 35% transaction scenario is value-neutral centrally; paired sensitivities keep proceeds and removed profit together.

- July retained FY3/27 guidance of JPY2.58tn revenue and JPY295bn operating profit. The model revenue forecast is above that guide; it is not issuer guidance.

- June common shares are the latest reconciled point. Later treasury awards are not fully reconciled. A 0.10% annual dilution reserve is retained, with no assumed buyback.

- Direct TDK downloads returned HTTP403. The issuer-filed quarterly and annual financial originals are archived from the exchange-disclosure mirror. April/July commentary and the September technical deck were read online; the full 2026 integrated report was not downloaded.

- Other current financial liabilities of JPY214.851bn are not fully split between operating, equipment and financing obligations. The funding stress reserves these separately to avoid presenting them as free liquidity.

- Cash is consolidated across jurisdictions. Repatriation, subsidiary restrictions, exact long-debt maturities and contractual capex schedules are not fully mapped; stresses explicitly test less available cash and accelerated repayments.

- TDK AI/DC UPS+BBU annual sales, qualified output, unit prices, customer share, product margins and ramp capex remain undisclosed. GS provides a FY3/31 endpoint, not a CY2027-30 forecast. The active contribution uses labeled assumptions, a 50% overlap reserve and 30% probability; the terminal diagnostic is not extra active revenue.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Primary source | 2026-07-31 | https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260731/20260731504740.pdf | Archived SHA-256: 4aabe64112dda6919a6628519578b5a24d4afca32abbb20de690b691d2169db2

[2] Primary source | 2026-04-28 | https://finance-frontend-pc-dist.west.edge.storage-yahoo.jp/disclosure/20260428/20260428513232.pdf | Archived SHA-256: 77d14426a54ca3f2e106e2531d80f5dd39489c86db562c13f4d946ab81487fff

[3] Primary source | 2026-04-28 | https://www.tdk.com/en/ir/ir_events/conference/2026/4q_2.html

[4] Primary source | 2026-04-28 | https://www.tdk.com/ja/ir/ir_events/conference/2026/4q_qa.html

[5] Primary source | 2026-07-31 | https://www.tdk.com/en/ir/ir_events/conference/2027/1q_2.html

[6] Primary source | 2026-07-31 | https://www.tdk.com/en/ir/ir_events/conference/2027/1q_qa.html

[7] Primary source | 2026-09-11 | https://www.tdk.com/system/files/ir_meeting_material_20260911_en.pdf

[8] Primary source | 2026-10-06 | https://www.tdk.com/en/information/202610_02.html

[9] Goldman Sachs: Framing the Battery Backup Unit Opportunity; third-party forecast, not company guidance | 2026-09-24 | Archived SHA-256: a2eb463b9bbbe3c006aa62f0bf695e3c504012ef00c589d9736047c3dc37718b

[10] TDK: Agreement to acquire shares of Linergy Power Sdn. Bhd. | 2026-05-19 | https://www.tdk.com/en/news_center/press/20260519_00.html